

Strategic Modeling — Module 04: Cognition —

Discussion Questions

20 questions on strategic reasoning, assumption testing, cognitive biases, and Red Team analysis.

1. What assumptions underlie your organization's current strategy? Which are most vulnerable to being wrong?
2. How does Andy Grove's concept of "strategic inflection points" relate to Active Inference model breakdown?
3. The sunk cost fallacy keeps organizations invested in failing strategies. Design a process that neutralizes this bias.
4. How does assumption-based planning differ from traditional strategic planning? What does it add?
5. Why is overconfidence the most dangerous bias in strategic reasoning?
6. Design a Red Team exercise for your organization's current strategy. What would the Red Team look for?
7. How does narrative fallacy distort strategic post-mortems? How can you distinguish genuine causal reasoning from storytelling?
8. When should an organization trust its strategic model over conflicting market data? When should it update?
9. How do reference class forecasts improve the accuracy of strategic predictions?
10. What organizational incentives encourage honest assessment of strategic assumptions versus confirmation bias?
11. List the top 5 assumptions underlying your organization's strategy. For each, define a "signpost" that would indicate the assumption is failing.
12. Classify your strategic assumptions into a 2×2 matrix of importance (high/low) and vulnerability (high/low). Where should you focus?
13. Design a quarterly "assumption review" process for your leadership team.
14. Describe a strategic decision your organization made that was influenced by cognitive bias. What bias was at work? How could the process have been improved?

15. Compare scenario planning with traditional financial forecasting as tools for managing strategic uncertainty.
16. How does the planning fallacy affect M&A decisions? What evidence exists?
17. When is strategic ambiguity (leaving assumptions unexamined) deliberately rational rather than negligent?
18. How can boards of directors serve as a check on executive cognitive bias in strategy?
19. Design a "bias-resistant" strategic planning process. What structural elements would protect against the most common biases?
20. How does the speed of technological change affect the shelf life of strategic assumptions?